

CHAPTER 7: CONCLUSIONS ON THE CONDITIONS DEFINED IN THE ACT

188. We are required by our terms of reference to report whether the conditions to which the Act applies prevail as respects the supply of each gas in the reference. In the circumstances of this inquiry, the conditions to which the Act applies* prevail if at least one-third of the goods which are supplied in the United Kingdom are supplied (1) by or to any one person (2) by or to any two or more inter-connected bodies corporate or (3) by or to any two or more persons who so conduct their affairs as in any way to prevent or restrict competition in connection with the production or supply of the goods.

Oxygen

189. As is shown in the Table in paragraph 20, in 1953 and 1954 about 96 per cent. of the oxygen supplied in the United Kingdom was supplied by the British Oxygen Co. Ltd. and over 98 per cent. was supplied by the inter-connected bodies corporate which form the B.O.C. Group.

Dissolved Acetylene

190. As is also shown in the same Table, about 92 per cent. of the dissolved acetylene supplied in the United Kingdom was supplied by B.O.C. and over 98 per cent. by the B.O.C. Group.

Propane

191. In relation to propane we think it proper in all the circumstances to treat separately, in accordance with Section 3 (3) of the Act, each of two forms of supply, namely, supply by producers and supply by distributors.

192. *Supply by the Producers.* We have calculated total supplies in the United Kingdom by adding together the sales by the producers of propane of their own production. The relevant figures are set out in Table I, paragraph 21. The total supplied by each company includes any amount bought from other producers for resale so that the percentage figures add up to more than 100 per cent. of the total supplied in the United Kingdom. On the average of the period covered by the Table, 1953, 1954 and 1955, Esso supplied about 35 per cent. of the propane supplied. Through the common marketing agency of Shell-Mex & B.P., "Shell" Refining & Marketing† and British Petroleum,‡ with Eagle Oil & Shipping, supplied just over 60 per cent. and, having regard to the terms of the agency agreement with Shell-Mex & B.P. and to the understanding with B.O.C. referred to in paragraph 101, they so conduct their affairs as to restrict competition in the supply of propane. I.C.I. supplied about 37 per cent. The supplies of propane made to the B.O.C. Group amounted to about 58 per cent. of the propane supplied by producers.

193. *Supply by the Distributors.* We have calculated total supplies by distributors in the United Kingdom by adding the sales by the distributors named in Table II, paragraph 21. On this basis over the same period B.O.C. supplied about 58 per cent., the B.O.C. Group about 59 per cent.,

* Section 3 (1), Monopolies and Restrictive Practices (Inquiry and Control) Act, 1948.

† As from 31st December, 1955, "Shell" Refining & Marketing Co. Ltd. has handed over its production and trading activities to Shell Petroleum Co. Ltd. (see paragraph 93).

‡ As from 31st December, 1954, The British Petroleum Co. Ltd. had handed over its production and trading activities to BP Trading Ltd. (see paragraphs 95 and 96).

and Saturn Industrial Gases Ltd. about 36 per cent. of the propane supplied by distributors.

Conclusion

194. We have no reason to believe that there has been any material change in the proportions mentioned in paragraphs 189, 190, 192 and 193 since the years to which the figures set out in these paragraphs relate. The restrictive arrangements mentioned in paragraph 192 are still continuing. We consequently find that the conditions to which the Act applies prevail as respects the supply of each gas in the reference, in the manner and to the extent indicated in the preceding paragraphs.